

Care for Growth

Making Industrial Jobs Work for Women in Viet Nam

Policy Summary Note

World Bank, 2026



Helle Buchhave, Cuong Viet Nguyen,
Cuong Vu, Giang Tam Nguyen, Ieva Zumbyte

560,000

**children under 6
near industrial parks**

22% of all young children
in Viet Nam

-27%

**drop in urban household
income after childbirth**

no significant effect
on fathers

US\$2.36B

net annual economic

gain from universal
under-3 childcare access

Women Drive Viet Nam's Industrial Economy and Their Participation Depends on Childcare

Over the past three decades, Viet Nam has achieved one of the most remarkable economic transformations in the world—lifting millions out of poverty and becoming a leading manufacturing and export hub. The ambition now is to reach high-income status by 2045. Women have been central to that journey, and sustaining their participation will be central to what comes next.

4.8 million women—19 percent of all employed women—work in industrial park (IP) manufacturing. Only 12 percent of employed men do. In textiles and garments alone, women make up 75 percent of the workforce, underpinning US\$44 billion in export turnover (2024). For women with limited qualifications and/or migrating from rural areas, an IP job is not just any job. On average, women in low-skilled IP manufacturing earn 40 percent more than women in non-IP manufacturing, 29 percent more than self-employed women, and over 85 percent more than female agriculture wage workers.

As Viet Nam transitions to higher-productivity industries, women's ability to remain in the workforce, accumulate skills, and move into more productive roles is essential. The evidence in this report indicates that childcare functions as economic infrastructure—shaping labor supply, productivity, firm competitiveness, and long-term human capital formation.

The Economic Case for Action Is Overwhelming

Childbirth Penalizes Mothers—Not Fathers

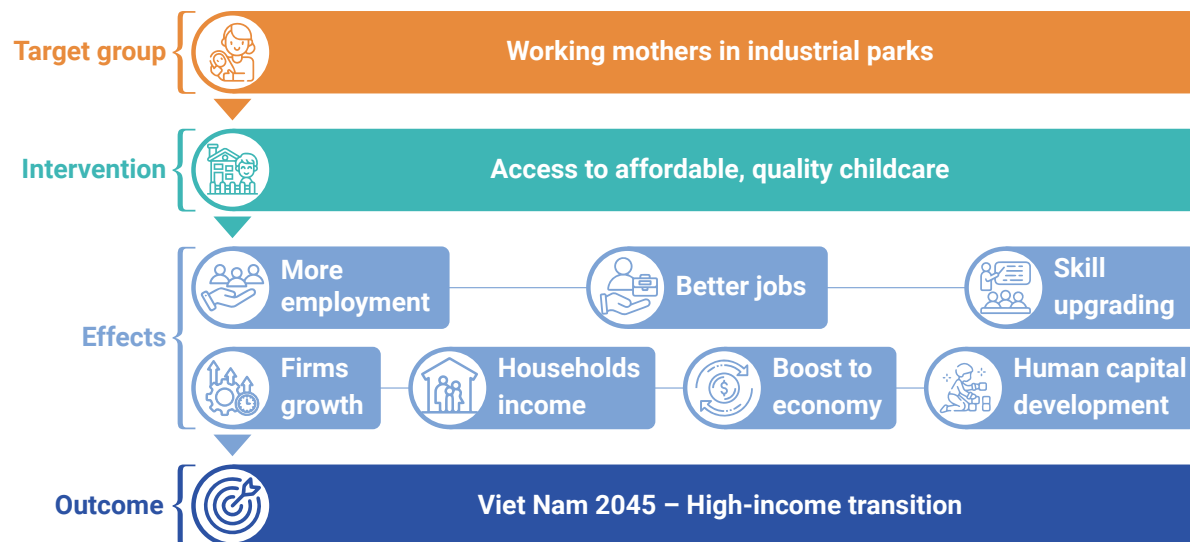
Using panel data tracking the same women over time, the report finds that childbirth reduces the probability of a woman holding a wage job by 8.1 percentage points, reduces her wage income by 8.3 percent—twice the European average—and reduces urban household per capita income by 27 percent. The effect on fathers is small and statistically insignificant. The burden falls almost entirely on mothers. One-in-three mothers near IPs report reduced hours, lower earnings, or job loss due to childcare responsibilities. Forty-three percent believe employers discriminate against mothers of young children when hiring. This is not a household issue. It is a labor market and growth problem.

Childcare Unlocks More Employment, Better Jobs, and Higher Earnings

The inverse is equally striking. Access to childcare increases the probability of women holding a wage job by 25 percentage points and a formal job by 28 percentage points. It enables women to switch from subsistence agriculture into wage employment, earning an additional VND 1.3 million per month. If childcare constraints were removed, 26 percent of mothers near IPs report they would seek a higher-paying job, 17 percent would work more hours, and 12 percent would seek additional education

or training—with higher shares among the poorest households. Childcare not only keeps women in employment—it enables them to move into better employment.

Women's work, childcare and Viet Nam's growth agenda



The Returns Flow to Firms, Families, and the Economy

Evidence from six large manufacturing firms in Viet Nam employing roughly 94,000 workers shows that limited childcare access drives higher turnover, absenteeism, and recruitment challenges. Where on-site childcare was introduced, absenteeism fell by 20 percent. At the household level, a simulation using the 2020 Viet Nam Household Living Standards Survey estimates that if all children aged 6 months to under 3 not currently enrolled in childcare gained access, the total economic benefit would reach US\$3.02 billion against a cost of US\$0.66 billion—yielding a net gain of US\$2.36 billion, or 2.45 percent of total urban household income. Returns are progressive: the low-income households gain the most. These figures capture only short-term maternal employment gains and do not include long-term human capital returns for children. The true return is therefore likely higher.

The Cost of Inaction Will Grow

Demographic shift is likely to result in the loss of a significant share of the workforce. Drawing on regression analysis from the 2022 Time Use Survey and UN demographic projections, the report estimates that female labor force participation could decline by 8–12 percentage points by 2045—driven increasingly by elder care demands as Viet Nam's population ages. Investing in childcare now is both an immediate imperative and the foundation for the broader care infrastructure Viet Nam will need as it ages.

The Policy is There—the Reality is Different

Viet Nam has strong policy commitments: the Labor Code (2019), Decree 145 for the implementation of childcare provision in areas with many employees; the Ministry of Education's Decree 105; and the 2025 National Scheme on Improving Early Childhood Education Quality in Urban Areas and Industrial Parks for 2025–2035 (Decision 2270/QĐ-TTg, approved by the Prime Minister in October 2025).

The intent is clear. But a structural misalignment between how the system operates and the realities of IP working life means most mothers near industrial parks cannot access the care they want and need—and younger children are missing out on care.

Enrollment for ages 3–6 is 94 percent nationally—a genuine achievement. But for children under 3, it is only 34.6 percent. And for infants aged 3–12 months, it is just 1.4 percent. With maternity leave ending at six months, this means families are left with an 18-month gap and no affordable public option.

This is not driven by culture — it is a supply failure. Three quarters of mothers near IPs not currently using licensed childcare say they would use affordable, quality care if it existed nearby. The gap is driven by a system that fails to deliver on affordability, proximity, hours, and quality simultaneously. Viet Nam's childcare system comprises four provider types: public preschools, private preschools, licensed independent childcare groups (ICGs), and unlicensed family care groups (FCGs). Public preschools are the most affordable but rarely accept children under 2 and close before most factory shifts end. Private preschools offer better quality but at fees most IP workers cannot afford. ICGs fill the gap for many families but operate under light regulation with inadequate inspection. FCGs — a common option for migrant and low-income families — operate almost entirely outside the regulatory framework, with no quality standards and no oversight.

The problem is solvable, as shown by the contrast between the provinces Da Nang and An Giang. Both operate under the same national framework. Da Nang — through sustained implementation effort and investments in provider capacity, including a partnership with international NGO OneSky to train ICG teachers and caregivers — achieves 93.3 percent enrollment for children under 3. An Giang reaches 8.1 percent; in some communes with active industrial parks, there is not a single facility for children under 3. This contrast highlights an implementation and financing gap that can be narrowed with targeted measures — and this report provides the evidence and guidance to do so.

Why the Gap Persists: Demand and Supply Constraints

What Families Face

- Lack of affordability: Price is the primary barrier for 42 percent of families in the lowest income quintile. The government subsidy of VND 160,000/month (≈US\$6) covers less than 9 percent of actual care costs.
- Shortage of spots: Only 23 percent of public preschools accept children under 2, compared to 66 percent of private providers. Eleven percent of public preschools are already above capacity—double the rate of non-public providers.
- Incompatible hours: Only 8 percent of public preschools stay open past 6pm. Most IP workers are on shift-based or extended schedules, pushing mothers toward lower-quality informal care.
- Household registration (hộ khẩu): Only 1.6 percent of short-term migrant children (KT4) attend public childcare versus 34 percent of permanent residents—excluding the very workers Viet Nam's export manufacturing depends on.
- Quality and safety: Public/private preschools score 86–87/100 on the structural quality index prepared for the report, ICGs score 58, and FCGs—most common for low-income and migrant

families—score 34. FCG caregivers earn less than factory workers with no social insurance and no regulatory oversight. Parents are not choosing lower-quality care; they are being pushed into it.

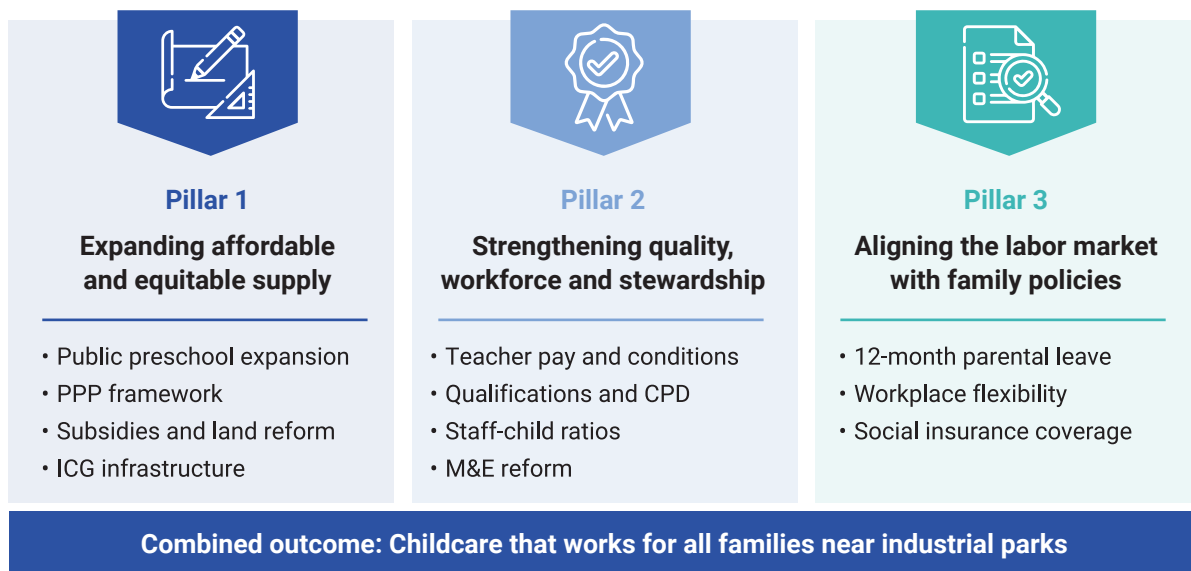
Why the System is Constrained

- National staffing cap: The cap on public preschools is a barrier and results in shortages of spots and high teacher-child ratios. Public preschools average 39.6 children per teacher in some provinces—more than twice the mandated maximum.
- Budget constraints: Economically disadvantaged provinces prioritize infrastructure over childcare. Limited budgets leave under 3 provision a low priority.
- Public Private Partnership (PPP) framework excludes most providers: Viet Nam’s PPP framework has not effectively facilitated the contracting of childcare services near IPs. The VND 100B (about US\$4.1 million) minimum threshold excludes most small providers. Operate-and-Manage contracts reduce investment costs but provide no operational support, forcing providers to raise fees or cut quality.
- Land incentives inaccessible: Land fee reductions are excluded for land acquired through auctions—the common mechanism near IPs. The policy exists; the pathway to use it does not.
- Teacher subsidies too small: The VND 800,000/month (about US\$33) top-up leaves non-public teachers earning less than factory workers, even with the subsidy. Eligibility is narrow, caregivers receive nothing, and the one-off equipment grant does not address operational costs.
- Regulatory gaps: ICGs are inadequately inspected. FCGs operate almost entirely outside the regulatory framework. Yet these providers absorb the largest share of IP workers’ youngest children.

What Needs to Happen: Three Pillars, One System

This report does not ask the Government of Viet Nam to make new commitments. The commitments are already there. It asks whether implementation is matching intent—and where it is not, it provides targeted, evidence-based guidance on what adjustments will close the gap. The recommendations focus on three mutually reinforcing pillars.

Policy Recommendation Framework: Three Pillars – One System



Pillar 1 – Expanding Affordable and Equitable Supply. This pillar centers on the most binding structural constraint: there are not enough spots for children under 3. Public preschool expansion requires relaxing the staffing cap and committing predictable central financing—prioritizing high-demand IP areas with quality conditions attached. A redesigned PPP framework must reduce minimum investment thresholds to include small providers, extend O&M contracts to cover operational costs, and attach fee caps to ensure subsidies benefit families rather than inflate provider revenues. Land use reform should implement Article 218 of the 2024 Land Law to enable flexible multi-purpose use of land for childcare, repurpose underutilized public buildings in land-scarce urban areas, and require IP developers to reserve land for care services as a condition of project approval.

Pillar 2 – Strengthening Quality, Workforce and Stewardship. A national salary policy for ECEC educators, covering both public and non-public providers, is essential. Qualification upgrades for ICG and FCG teachers should be funded by the government, with a 2030 deadline and proven training models - such as OneSky - scaled nationally. ICG inspection must be professionalized through dedicated, independent units separate from public school management. FCGs must be brought into the regulatory framework now—requiring registration and basic safety standards to ensure child protection in the short term.

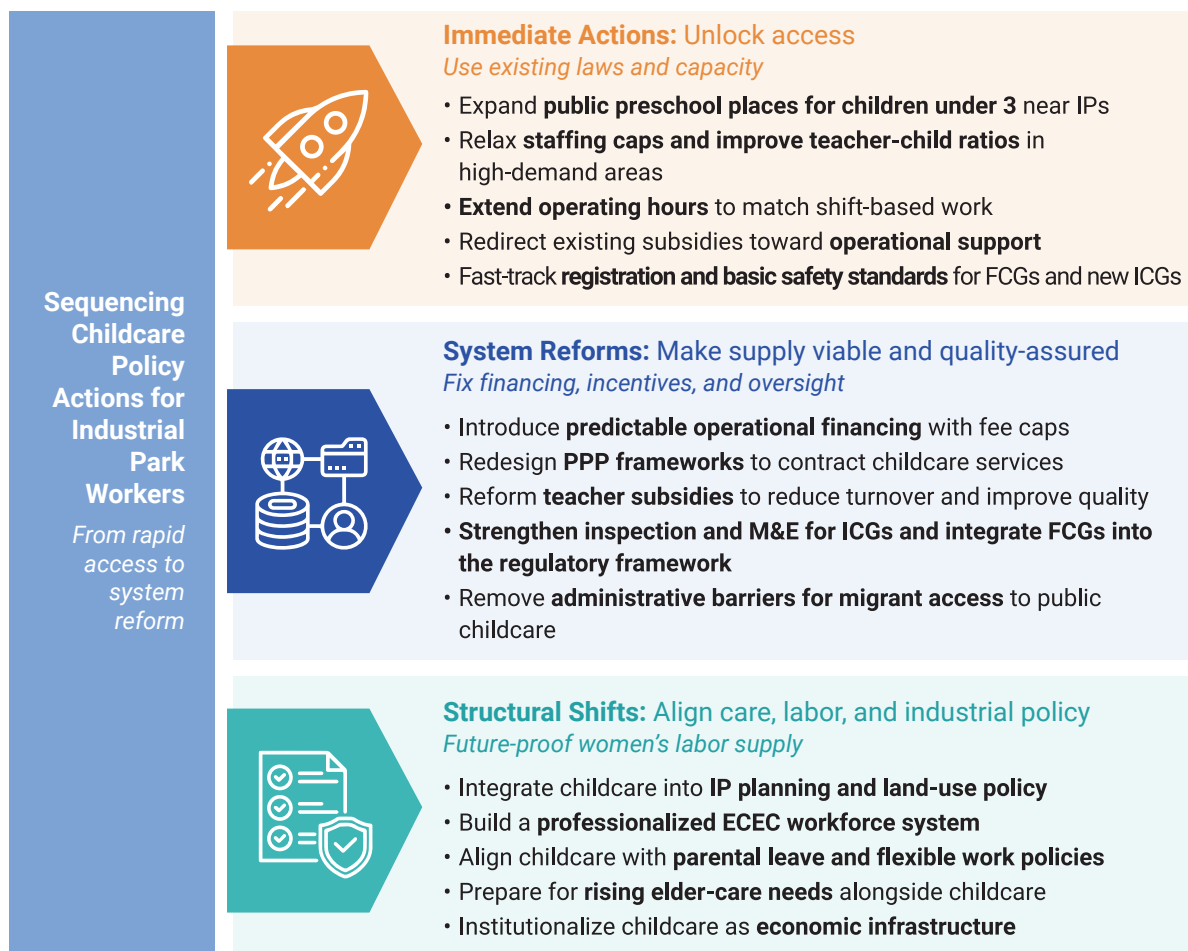
Pillar 3 – Aligning the Labor Market with Family Policies. This recognizes that childcare supply alone cannot close the wage and participation gap if labor market conditions prevent women from using it. Parental leave could be extended to 12 months with a non-transferable father-specific entitlement. Without the father quota, extended leave becomes extended maternity leave, which harms women’s employment prospects rather than supporting them. The household registration barrier must be removed administratively. Flexible scheduling should be extended across IP job categories, with outreach also targeting supervisory and technical roles where men are concentrated, to normalize shared caregiving in visible positions.



Sequencing Matters: A Roadmap for Action

The right reforms in the wrong order will not close the gap. Near-term actions can unlock access now using existing laws and capacity. System reforms make supply viable and quality-assured over the medium term. Structural shifts future-proof women’s labor supply over the longer term. All three tiers must move in parallel—near-term actions will not be sustained without the system reforms, and the structural shifts must be initiated now, even if they take years to complete.

A Roadmap for Action



Three Points for Decision-Makers

This is not just a welfare issue. Childcare is economic infrastructure. The net return is US\$2.36 billion—primarily through restored maternal employment. The cost of inaction is measurable and growing. These returns are progressive: the low-income households and vulnerable workers gain the most.

The demand is already there. Three-quarters of mothers near IPs not currently using care service want licensed care but cannot access it. The gap is driven by supply failures—not cultural resistance or parental preference. Families are ready; the system is not. The evidence shows it is a problem of delivery, not of will.

Reform is within reach. The 2019 Labor Code, Decree 145, and the 2025 National Scheme on Improving Early Childhood Education Quality in Urban Areas and Industrial Parks already contain the commitments needed to act. Near-term actions can unlock access using existing laws and existing capacity, without waiting for new legislation. Provinces like Danang and HCMC have already demonstrated that meaningful progress is possible within the current framework when fiscal resources and implementation efforts are aligned. Viet Nam's 2045 ambition depends on women's labor. Women's labor depends on childcare. The implementation guidance to make those commitments real is now available.

The note is a summary of this report:

Buchhave, Helle; Nguyen, Viet Cuong; Vu, Cuong; Nguyen, Tam Giang, Zumbyte, Ieva (2026): Care for Growth - Making Industrial Jobs Work for Women. Policy Recommendations for Affordable Quality Childcare Near Industrial Parks in Viet Nam. World Bank. Washington DC. © World Bank.

Find the full report via the QR below.

For more information: Helle Buchhave, Senior Social Development Specialist, Global Social Policy Department, World Bank (hbuchhave@worldbank.org) | Quyen Thuy Dinh, Program Assistant, World Bank Hanoi (qdinh@worldbank.org)

This report was prepared under the World Bank's Viet Nam Women's Economic Empowerment Project, with financial support by Australia through the Australia–World Bank Strategic Partnership Phase II (ABP2).



With support from:



8 Dao Tan Street, Ha Noi, Viet Nam
Telephone: +84 24 37740100
Facsimile: +84 24 37740111
Website: www.dfat.gov.au



THE WORLD BANK
IBRD • IDA | WORLD BANK GROUP

63 Ly Thai To Street, Ha Noi, Viet Nam
Telephone: +84 24 39346600
Facsimile: +84 24 39346597
Website: www.worldbank.org/en/country/vietnam

